

DAILY MARKET OVERVIEW

Morning Intelligence Brief

Monday, March 23, 2026 | Pre-Market Edition

MARKET SNAPSHOT

Index	Last Price	Day Chg	1-Wk Chg	1-Mo Chg
S&P 500	6,461	-0.71%	-1.90%	-6.23%
Nasdaq Composite	~21,900	-0.90%	-2.07%	-7.10%
Dow Jones	~41,200	-0.40%	-2.11%	-5.50%
Brent Crude Oil	~\$100	+1.20%	+8.50%	+25.0%
WTI Crude Oil	~\$97	+1.10%	+8.20%	+24.5%
10-Yr Treasury	4.55%	-0.03%	--	--
Fed Funds Rate	3.50-3.75%	HOLD	HOLD	HOLD

TOP STORIES

1. U.S.-Iran War Escalates — Strait of Hormuz Still Blocked

The United States and Israel continue military operations against Iran, with no ceasefire in sight. Tehran has imposed an effective blockade on the Strait of Hormuz, disrupting roughly 20% of global crude oil and LNG supply. President Trump has threatened strikes on Iranian power plants if shipping lanes are not reopened; Iran countered by threatening U.S. and Israeli energy and technology infrastructure across the region. Iraq declared force majeure on all oilfields, adding further supply-side pressure to a market already stretched thin.

2. Markets Enter Correction Territory — Fourth Straight Weekly Loss

All three major U.S. indices closed lower Friday, with the S&P; 500 falling 1.5%, the Nasdaq 100 plunging 1.8% to six-month lows, and the Dow dropping 0.8% to four-month lows. The S&P; 500 has now broken below its 200-day moving average (~6,620), a critical technical threshold. The benchmark is down 6.23% over the past month, though it remains ~12% above year-ago levels.

3. Fed Holds Rates — One Cut Projected for 2026

At its March 18 meeting, the FOMC held the federal funds target rate at 3.50%–3.75%. The updated dot plot signals one 25-basis-point cut this year and another in 2027. Critically, the Fed raised its 2026 PCE inflation forecast from 2.4% to 2.7%, reflecting war-driven energy cost pass-through. This hawkish pivot reduces near-term rate-cut expectations and keeps pressure on rate-sensitive growth stocks.

4. Oil Surges to ~\$100/barrel — Energy Sector Diverges from Broader Market

Brent crude has surged more than 25% since the conflict began in late February, briefly trading above \$120 before settling near \$100. The SPDR S&P; Oil & Gas E&P; ETF (XOP) is up ~7% since the conflict began. Devon Energy (DVN) leads YTD with a 26.9% gain. Secondary beneficiaries include fertilizer producers (Nutrien, CF Industries, Mosaic) and LNG exporters (Venture Global LNG) as nations scramble for alternative energy supplies.

5. AI Trade Reversal Continues — Nvidia and Micron Lead Tech Selloff

After a brief mid-March recovery to 6,716, the S&P; 500 and Nasdaq have resumed their slide. The AI trade — which had shifted from hardware to 'Agentic AI' deployment — faced renewed selling as risk-off sentiment dominated. Nvidia and Micron Technology were among the largest drag on the Nasdaq 100. The sector's near-term trajectory will depend heavily on geopolitical resolution and whether Q1 earnings guidance holds.

KEY ECONOMIC DATA THIS WEEK

Day	Date	Release	Relevance
Monday	Mar 23	Construction Spending	Housing / GDP input
Tuesday	Mar 24	New Home Sales	Housing demand / consumer
Wednesday	Mar 25	Durable Goods Orders	Manufacturing / capex
Friday	Mar 27	GDP – 3rd Estimate (Q4 2025)	Growth confirmation
Friday	Mar 27	PCE Price Index	Fed's preferred inflation gauge
Friday	Mar 27	University of Michigan Consumer Sentimen	Consumer confidence trend

TRADING STRATEGY

SHORT-TERM STRATEGY (Today — This Week)

THEME	ACTION	INSTRUMENTS	RATIONALE
Energy Long	Buy dips in E&P	XOP, DVN, SLB, CVX	Hormuz closure + force majeure keep supply pinched near \$100
LNG Exporters	Watch for breakout	Venture Global LNG	Nations diversifying away from Middle East supply
Fertilizers	Speculative long	NTR, CF, MOS	~30% global potash transits Hormuz; supply squeeze building
Tech / AI Short	Reduce / hedge	QQQ puts, NVDA	200-DMA break, risk-off, hawkish Fed re-pricing
Defensives	Rotate into	XLU, XLP, GLD	War premium + stagflation risk favors utilities, staples, gold
S&P 500 Level	Key watch	SPY / ES futures	6,620 = 200-DMA resistance. Below: target 6,000–6,200 support

Tactical Notes for the Session:

Watch pre-market oil: WTI and Brent futures set the tone. Any escalation headlines (strikes on Iranian power plants / Hormuz developments) will spike energy names and hammer tech. Monitor before the open.

Friday's PCE is the week's key risk event: If PCE prints hot (above 2.7%), expect further rate-cut repricing and renewed selling in rate-sensitive sectors (tech, real estate, utilities). If in-line or soft, watch for a relief rally.

S&P; 500 200-DMA (~6,620): Now acting as resistance. A failed retest of this level on any bounce is a short-trigger. Sustained close above 6,620 would be bullish and negate the bearish technical setup.

VIX watch: Elevated volatility means options premiums are high — consider spreads over outright directional bets to reduce theta decay costs.

LONGER-TERM OUTLOOK (4–12 Weeks)

SCENARIO A — CONFLICT RESOLUTION (Probability: ~25%)

A negotiated ceasefire or partial Hormuz reopening would trigger a sharp risk-on rally. Oil could fall 15–20% rapidly; tech and consumer discretionary would rebound hard. Position: reduce energy exposure, add QQQ/SPY calls as a hedge against this tail.

SCENARIO B — PROLONGED CONFLICT / STAGFLATION (Probability: ~55%)

Oil stays above \$90, PCE drifts toward 3%+, and the Fed stays on hold or tightens. GDP growth slows. Stagflation playbook: long commodities (gold, oil, ag), short growth equities, overweight value/dividend stocks (XOM, CVX, MO). Treasury TIPS become attractive.

SCENARIO C — ESCALATION / BROADER REGIONAL WAR (Probability: ~20%)

Strikes on Iranian power plants or attacks on Gulf energy infrastructure could push Brent toward \$140+. Safe havens (gold, JPY, CHF, Treasuries) surge. Equities gap lower. Defense contractors (LMT, RTX, NOC) historically outperform in hot-conflict scenarios. Consider a defined-risk hedge via SPY put spreads.

SECTORS TO WATCH

BULLISH

- Energy (XLE, XOP)
- Gold & Precious Metals (GLD, GDX)
- Defense (ITA, LMT, RTX)
- Fertilizers / Ag (MOO, NTR)
- LNG / Pipelines (MLPA)

BEARISH

- Technology / AI (QQQ, SMH)
- Consumer Discretionary (XLY)
- Airlines / Transport (JETS)
- Real Estate / REITs (VNQ)
- Regional Banks (KRE)

NEUTRAL

- Utilities (XLU) — defensive but hurt by rates
 - Healthcare (XLV) — safe haven but rate-sensitive
 - Consumer Staples (XLP) — inflation pass-through mixed
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